**2025**

( CBCS )

( 5th Semester )

**ECONOMICS**

SIXTH PAPER

**( Public Finance )**

*Full Marks* : 75

*Time* : 3 hours

*The figures in the margin indicate full marks for the questions*

**( SECTION : A—OBJECTIVE )**

( *Marks* : 10 )

Tick (✓) the correct answer in the brackets provided : 1×10=10

**1.** "Public finance is concerned with the income and expenditure of public authorities and with the adjustment of one to the other." This statement is given by

*(a)* Hugh Dalton ( )

*(b)* Bastable ( )

*(c)* Findlay Shirras ( )

*(d)* Cohn and Phelps ( )

**2.** Which of the following measures assists in preventing deficit financing?

*(a)* Control on credit ( )

*(b)* Increase in employment ( )

*(c)* Large-scale production ( )

*(d)* Increase in consumption ( )

**3.** The objective of taxes is

*(a)* regulation of economy ( )

*(b)* increase in production ( )

*(c)* increase in consumption ( )

*(d)* decrease in production ( )

4. The classical economists asserted that public expenditure is
   (a) unproductive ( )
   (b) productive ( )
   (c) stagnant ( )
   (d) All of the above ( )
5. A tax is ad valorem, when it is based on the
   (a) weight of goods ( )
   (b) assess value ( )
   (c) income ( )
   (d) All of the above ( )
6. In India, GST was introduced in the year
   (a) 2015 ( )
   (b) 2016 ( )
   (c) 2017 ( )
   (d) 2018 ( )
7. When the government borrows from the public by using coercive methods, loans so raised are called
   (a) redeemable debt ( )
   (b) funded debt ( )
   (c) productive debt ( )
   (d) compulsory debt ( )
8. "Public debt leads to extravagance, encouraged resort to war and induced bad economic conditions." This statement is of
   (a) Dalton ( )
   (b) Adam Smith ( )
   (c) J. K. Mehta ( )
   (d) Findlay Shirras ( )
9. The 15th Finance Commission has recommended that the States be given ____ percent of the divisible pool of the Centre during the period 2021–2022 to 2025–2026.
   (a) 32 ( )
   (b) 36 ( )
   (c) 41 ( )
   (d) 44 ( )

10. The first Finance Commission was set up in the year

(a) 1950 ( )

(b) 1951 ( )

(c) 1952 ( )

(d) 1953 ( )

## ( SECTION : B—SHORT ANSWERS )

( *Marks* : 15 )

Write short notes on the following : 3×5=15

UNIT—I

1. Distinction between Public good and Private good

**OR**

2. Meaning of 'principle of maximum social advantage'

UNIT—II

3. Effects of public expenditure on consumption

**OR**

4. Objectives of public expenditure

UNIT—III

5. Progressive tax and Regressive tax

**OR**

6. Impact and incidence of tax

UNIT—IV

7. Intergenerational transfer of public debt

**OR**

8. Sinking fund

UNIT—V

9. Zero-based budgeting

**OR**

10. Kinds of budget

## ( SECTION : C—DESCRIPTIVE )

( *Marks* : 50 )

Answer the following : 10×5=50

UNIT—I

**1.** Discuss the linkages between economic development and environment. 10

**OR**

**2.** What is market failure? State the measure that can be adopted to correct market failure. 2+8=10

UNIT—II

**3.** Explain briefly the main principles that should govern public expenditure. 10

**OR**

**4.** Analyze the causes of growth of public expenditure in recent years. 10

UNIT—III

**5.** What is taxable capacity? Mention the factor determining taxable capacity? 2+8=10

**OR**

**6.** Discuss the characteristics of a good tax system. 10

UNIT—IV

**7.** Critically examine the various methods of debt redemption. 10

**OR**

**8.** What is public debt? What are the different sources of public borrowing? 2+8=10

UNIT—V

**9.** What is finance commission? Examine the functions of the Finance Commission of India. 2+8=10

**OR**

**10.** State the preparation and passing of budget in India. 10

★★★